

SEZs

QThe companies who have already kicked off their investments are understandably apprehensive about the rising costs of the political risk they now face. What are you doing for them?

AWell, let me emphasise once again that there is absolutely no ground for any apprehensions about what you call "the rising cost of political risks" to investments in SEZs. The government remains committed to SEZs which is an Act of Parliament.

As I had mentioned, the Empowered Group of Ministers has given directions to the Board of Approvals on various issues, signalling clearly that investors should not have any apprehension about the SEZ policy. We are encouraging entrepreneurs and all other stakeholders to give their suggestions for smooth implementation of the SEZ Policy. And it is always possible to amend the SEZ Rules, wherever necessary, as we move along in order to ensure that there are no hitches in implementation of the policy.

QHow do you propose to make SEZs scam proof? They make it very easy for the evil minded to grab land, save on taxes and then make money on the real estate developed.

AAnything can be imagined and there is no limit to

such unfounded criticisms or imagined ills. There has not been any case of a land grab so far – not in the Zones that are under construction nor in the ones that are already functional, either fully or partially. I would like people to visit the Zones and only then give their comments!

Let me state that adequate safeguards have been built in the SEZ Act and the SEZ Rules to prevent any violation and misuse of tax exemptions. Monitoring mechanism by the Approval Committee, which is headed by the Development Commissioner of each Zone and consist of representatives of the State Government as well as the Department of Revenue is in place to see that the authorized activities are carried out strictly in accordance with the rules. SEZs have to be developed in terms of the master plan approved by the competent authority. It has also been provided in the SEZ Act and Rules that the land in the SEZs cannot be sold by the Developer. Further, vacant land in SEZs cannot be leased to

any person other than a co-developer. I am sure you will agree that these are adequate safeguards against any possible misuse.

QTake Nokia for instance, they would have set shop in India irrespective of the tax exemptions gifted by the SEZs. Why should they and other companies like them get the incentive?

AThis is not correct. Without the SEZ Act, Nokia and the other electronic hardware manufacturers like Motorola, Flextronics and Foxconn would not have set up manufacturing facilities in India. You must understand that we are in a very competitive situation. If we don't offer incentives, the investor will simply go to another country,

which offers them a better climate for investment. There is investment competitiveness from Thailand, Vietnam, Philippines and Indonesia, to name only a few. If FDI inflows are coming into our Special Economic Zones, they can jolly well also go to Thailand or Philippines or Indonesia. Investments have to be attracted – it cannot be demanded. At the end of the day, investors are here because they look at India as a credible country with a stable, credible policy framework for investment.

Please remember also that developers of SEZs are given tax incentives since the Zones have a long gestation period before they become viable. It should also be

noted that tax incentives are already available for infrastructure development in India under section 80 IA of the Income Tax Act even outside the SEZs. Tax concessions, insofar as the manufacturing and service units are concerned, are similar to the ones already in existence for units in existing SEZs (which were set up prior to the SEZ Act coming into force), 100% Export Oriented Units (EOUs) and Software Technology Parks of India (STPIs). Corporate tax concessions are available to units only on export income. Further, for sale in Domestic Tariff Area (DTA), 100% customs duty and direct taxes have to be paid by the SEZ unit and there are no exemptions for such DTA sale under the SEZ regime.

QThe FM is very apprehensive about the loss of revenue from SEZs. You say he'll get extra revenue. Indirect taxes are still understandable. But why should earnings be free? Why should tax on profits be exempt?

“ Nobody has ever questioned the merits of Special Economic Zones or its economic potential. Let me also clarify that SEZs are simply industrial clusters with a good infrastructure meant for economic activity/exports.

We must not confuse SEZs with land acquisition. These are two distinct things. ”